09_trading-state-verified

TRADING STATE — VERIFIED ANALYSIS

Date: 23 September 2026 | **Board seat:** Chief Risk Officer **Source:** TradingView paper-trading export, 105 closed trades, 9 Jun – 21 Sep 2026, XAUUSD, Pepperstone feed, ~$1,078,000 notional account, 100x leverage available **Status:** FIRST POSITIVE-EXPECTANCY SAMPLE ON RECORD

1. HEADLINE METRICS

Metric	Live (Dec 25–May 26)	Demo (Jun–Sep 26)
Trades	190	105
Win rate	7.4%	**26.67%**
Profit factor	<1	**1.450**
Expectancy	negative	**+$798.62**
Avg win / avg loss	—	9,642.79/−2,417.45
Realised R:R	4.33	3.99
Net	−$16,085	**+$83,854.69**
Max drawdown	—	**−$41,027 (−3.81%)**

Break-even win rate at ~4R is ~20%. **26.67% clears it.**

2. THE CENTRAL FINDING — CONVICTION SIZING IS THE EDGE

Trades split into quartiles by position notional:

Quartile	n	Median notional	Win rate	Net P&L	Exp/trade
Q1 smallest	26	$860,367	**19.2%**	**−$11,750**	−$452
Q2	26	$1,623,331	23.1%	**−$24,546**	−$944
Q3	26	$2,513,273	30.8%	+$31,802	+$1,223
Q4 largest	27	$5,023,798	**33.3%**	**+$88,349**	+$3,272

Win rate rises monotonically with position size: 19.2% → 23.1% → 30.8% → 33.3%. Top 10 largest positions: **5/10 winners (50%)** versus 26.67% overall.

Flat-size counterfactual: normalising every trade to the median notional produces **−14,155, *PF*0.909 * * .*Actualresultwithdynamicsizing* : * * +83,855, PF 1.450.**

> **Dynamic conviction sizing added $98,010 versus trading flat size. It is not noise — it is the edge.**

Corollary: Q1 + Q2 combined lose 36,296*over*52*trades*. * **TradingonlyQ*3/*Q4 − *convictionsetupswouldhaveproduced* * * +120,151 on 53 trades instead of +$83,855 on 105 — a better result on half the volume and half the commission.

Board correction on record

A prior session computed Pearson r(size, P&L) = +0.195 and concluded sizing was uncorrelated with outcome. **That statistic was the wrong tool** — a linear correlation on a heavy-tailed P&L distribution is dominated by outliers and cannot detect a monotonic relationship in hit rate. The rank/quartile test is the correct instrument and it reverses the finding.

3. THE LOSING-STREAK FIGURE WAS A MEASUREMENT ARTIFACT

The live dataset separately classified **32 breakeven trades**, which broke up losing runs. The demo export carries **no breakeven flag**, so a naive script counts every scratch as a loss.

Breakeven band	Scratch trades identified	Longest TRUE losing streak
±$0 (naive)	0	**22**
±$200	7	18
±$500 (~0.05% of account)	**16**	**9**
±$1,000	26	8

True comparable streak: ~9, versus 13 in the live record. The streak got *shorter* as execution improved, exactly as theory predicts.

Expected longest losing run:

- At 7.4% win rate over 190 trades: **~34**
- At 26.67% win rate over 105 trades: **~10.7**

Observed 9 is **normal and slightly better than expected.**

Depth, not length, was always the risk

The 22-trade "run" (trades #58–#79, 7–18 Aug) cost **−36,136—*just*3.351,643 per trade. Max peak-to-trough drawdown across all 105 trades: **−$41,027 (−3.81%)**, against a gross return of +7.8%. That is a respectable return-to-drawdown profile.

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4. TRAJECTORY

Segment	Period	Win rate	Net
First 35	9–30 Jun	25.71%	+$53,514
Middle 35	30 Jun – 17 Aug	22.86%	+$9,186
Last 35	17 Aug – 21 Sep	**31.43%**	+$21,154

Win rate is highest in the most recent third. Consistent with continued improvement; sample far too small to confirm a trend.

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5. WHAT REMAINS UNPROVEN

1. **Sample size.** 105 trades. Confidence interval on a 26.67% win rate is roughly 18–36%. Target: **300+ trades**.
2. **Ranks are unlogged.** Position size is a *proxy* for conviction, not a record of it. The Readiness Gate requires ranks that predict results — size predicts results, but the A+/A/B/C label was never recorded. **Log rank at entry from the next sample onward.**
3. **Demo conditions.** No real-money emotional load, idealised fills, no slippage realism.
4. **Realised-R vs planned-R gap.** The user's own diagnosis: the leak has moved from entry timing to trade management. Documented instance — trade #104 (21 Sep): short 4347.95, target 4334.29 (13.66 pts), stopped at 4345.57 for 2.38 pts. **+$664.69 against roughly $3,800 planned.**
5. **The stall-reduction behaviour.** The user reduces risk when price stalls before breakeven conditions are met, and suspects it works against him but has no statistics. **Untested and testable.**

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6. RULE ADHERENCE (context: this sample was execution-focused, not rules-focused)

8 of 29 trading days breached the self-imposed trade cap. Five were all-loss days exceeding the stop-at-3 rule:

Date	Trades	Net
19 Jun	4, all losses	−$15,143
10 Aug	5, all losses	−$8,168
7 Aug	5, all losses	−$7,122
4 Sep	6, all losses	−$5,485
17 Aug	4, all losses	−$4,501
Total		**−$40,419**

Holding the rule would have produced roughly **$124,274** instead of $83,855 — about **48% better**, with no change to system or edge.

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7. HRT ACCOUNT — AGREED STRUCTURE

- Separate high-leverage account, isolated from prop and personal accounts
- Funded **once per year**, **$1,000** initially; never refunded within the year
- Aggressive dynamic sizing on **A+ setups only**
- **Risk capped at 20% per trade**, not 30% (see below)
- Maximum **3 HRT trades per month** — forces genuine A+ selection
- **60–70% of profits withdrawn quarterly** to personal account
- Deployment gated on: RSFE statistical validation + logged ranks + prop income. **Target: Q1 2027.**

Survival math at the corrected 9-loss streak:

Risk/trade	9 consecutive losses
10%	−61.3%
20%	**−86.6%**
30%	−96.0%

The 30% tier converts a survivable drawdown into a terminal one without a corresponding increase in edge. **Cap at 20%.**

Scaling cap: the user's stated ceiling is $100,000. The board's position is that HRT should be capped at **2–3% of liquid net worth**, not an absolute figure. At current net worth (~₦350m ≈ 262,000)*thatisroughly* * *5,250**. A 100,000*HRTaccountrequiresaliquidnetworthof* * *3.3m–$5m**. The phrase "willing to lose it all" is a true statement about $1,000 and an untested one about $100,000.

Refund discipline requires architecture, not willpower. The user has stated he will likely buckle. Recommended: fund HRT on a single fixed calendar date from the money market fund, with a standing rule that no MMF withdrawal for HRT occurs at any other time, and disclose the rule to a third party (Sarah).

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8. OPEN ITEM FOR THE RED TEAM SESSION

The order-flow source has changed and the rank definition has not. The RSFE playbook states that spot CFD volume is "fictional" and that GC futures (Bookmap) is "the trustworthy, centralized tape." A+ rank requires "textbook GC order-flow confirmation." The user now reports using the TradingView footprint chart, which is spot-based.

Given that Section 2 establishes conviction sizing as the edge, and A+ rank is what drives conviction, **a silent change in the order-flow input is a change to the thing that generates the returns.** Either the rank definition is updated to reflect spot footprint, or the A+ tier is capped in its absence. To be resolved before HRT funding.